- o If the lead time is high, i.e. new supply takes time to build the industry will enjoy a longer phase of high profitability—where the demand is greater than the supply for a longer period.
- o Then it moves to the next phase where the supply catches up, thus reducing profitability.

For industries where the time between capital expenditure planning and production start is less, the change in profitability due to the demand-supply scenario is quick.

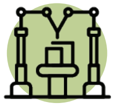
4. Analyze the requirement for new capacity and availability of resources.

- o Adding capacity requires all factors of production

Land at correct location

Labor with relevant skills

Adequate financing at adequate rates



Relevant physical capital

Availability of all the resources in the required quantity often becomes a challenge and sometimes even a hindrance to capacity expansion.

5. For analysts, it is important to identify **the expansion constraints and their impact on the industry's supply and profitability.** A factor very closely linked to expansion constraints is barriers to entry.

- o Barriers to entry into an industry are those factors that restrict the entry of new players into the industry; they may even make expansion difficult for existing players.
- o These factors make it difficult for supply to increase quickly and cause the existing players to enjoy greater profitability for a longer period.